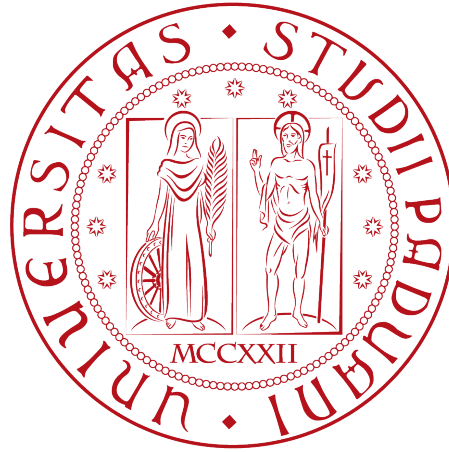


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ITSM Project

IT Service Management

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Abstract

The recent international expansion of the Bank through the acquisition of other financial entities represents an important opportunity to increase the value of the services provided and achieve several business objectives. However, this expansion also introduces new challenges related to service integration, operational efficiency, regulatory compliance, cultural differences, while maintaining the delivery of high-quality IT services across different countries and business units.

By analyzing the IT Service Management (ITSM) environment of the Bank presented in the case study, this project supports the strategic transformation of IT Department into a “Shared Service Center” thus to operate uniformly, applying ITIL (Information Technology Infrastructure Library) concepts to consistently adapt the organization in order to provide value and improvement both to stakeholders as internal units.

Moreover, to achieve business objectives, this document analyzes the individuated Critical Success Factors (CSFs): Customer Partnership, Process Factory, Continuous Improvement. Then, for each critical sector are defined different different Key Performance Indicators (KPIs), providing a framework template with their respective metric and process involved for the areas identified.

Chapter 1

Organisational Mission and Goals

1.1 Mission

The Bank's current state is composed by various levels divided into divisions, departments and operational units, as well represented into the organigram in Figure 1.1. The recent acquisition of overseas banks has positioned the Bank at an international level, changing its requirements and creating new opportunities to expand and enhance the services provided. To ensure the realization of the vision, Information Technology (IT) Department cover a strategic role, by adopting the structure of a **"Shared Service Center"** thus to ensure that business services remains reliable, secure and efficient; while providing high-performance and cost-effective services both internally than externally to the organization.

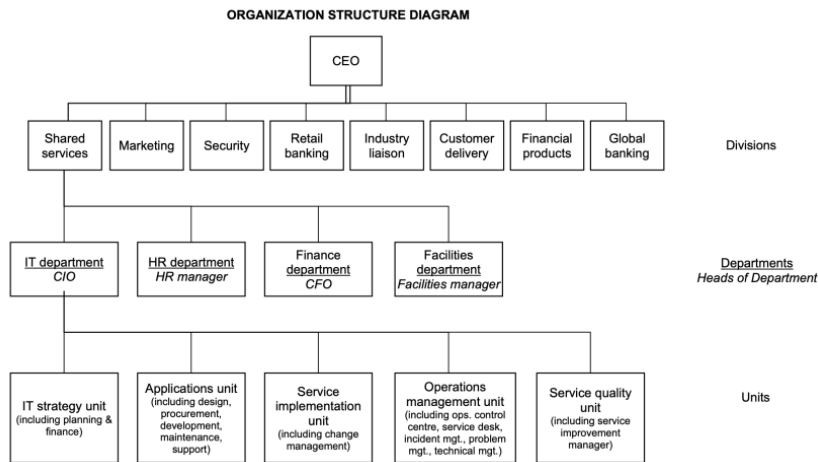


Figure 1.1: Organization Organigram

1.2 Goals

To support the Mission of the company, the primary goal of the IT Department is to implement a **"Performance-Based Management"** approach. Through this model, organizational performance is continuously monitored via measurable Key Performance Indicators, which provide objective information for decision-making (*progress iteratively with feedback*). Decisions based on measurable data, rather than subjective opinions enable management to identify weaknesses and monitor progress toward strategic objectives, thus to evaluate the

effectiveness of implemented improvements and continuously enhance service quality.

To achieve these strategic objectives, the Bank has identified three Critical Success Factors (CSF), representing the key areas that require enforcement and attention.

- **Customer Partnership** represents the first Critical Success Factor.

As the Bank expands its international presence and strengthens collaborations with external financial institutions and independent financial advisors, establishing strong relationships with customers and business partners becomes essential (*collaborate and promote visibility*). The IT Department therefore works closely with business units to actively involve stakeholders throughout the service lifecycle. Through continuous communication, customer feedback and satisfaction surveys, IT can better understand business needs and deliver services that enrich value for customers while supporting the Bank's strategic business.

As indicated by the corporation, several goals and business objectives involve customers:

- In the bank's HQ country, to have as a customer base 10% of the retail banking market (currently 7 %)
- To increase income from internet banking by 70
- To increase the income from customers living outside the HQ country by 50%

- The second Critical Success Factor is **Process Factory**.

The Bank aims to standardize current IT processes, technologies, and operational procedures across all acquired organizations and various departments (*start where you are*).

Standardization reduces complexity, minimizes waste, simplifies maintenance activities and improves service consistency. Furthermore, standardized processes facilitate the integration of different IT environments and create a clearer workflow of the process, enabling a more efficient management of services on an international scale (*keep it simple and practical*).

This objective is particularly important and fragile, since the Bank while maintaining high levels of service quality in multiple countries must ensure different regulations compliance of various nature: Political, Economical, Social, Technological, Legal and Environmental (PESTLE).

- The third Critical Success Factor is **Continuous Improvement**.

The Bank recognizes that delivering high-quality IT services requires continuous measurement, evaluation and optimization toward to improve the value provided (*focus on value*).

This initiative must be done by collecting and analyzing performance data generated through KPIs; then the corporation can identify opportunities for improvement and monitor potential risks. Overall through incremental improvements, regular feedback, and continuous evaluation of results, the organization can steadily increase the value delivered to customers while optimizing both services and internal resources (*think and work holistically*).

To verify whether these Critical Success Factors are being achieved, the Bank has defined a KPI tree composed of six Key Performance Indicators.

Together, these gauges provide a balanced overview of service quality, operational efficiency, customer satisfaction and financial performance. By continuously monitoring these indicators, and where possible, automating the collection and analysis of performances (*optimize and automate*), the IT Department can ensure that its activities be aligned with overall business strategy. Furthermore, KPI monitoring supports Service Level Management, enabling the organization to identify areas that require corrective actions and ensure that the service provided accomplish the customer expectations. In the end, all these procedures ensure the continuous progress toward its strategic objectives (*keep momentum going*).

Chapter 2

Critical Success Factors

Critical Success Factors ([CSFs](#)) represent the number of areas in which satisfactory performance is essential for an organization to achieve its strategic objectives and business goals. Within the context of IT Service Management ([ITSM](#)) and Performance-Based Management, CSFs provide a structured mechanism for translating the organization's strategic vision into measurable operational outcomes. They identify the key domains that require continuous attention, monitoring, and improvement to ensure that the organization's mission and strategic objectives are successfully achieved.

For the bank's IT Department, which aims to operate as a "Shared Service Center" delivering high-quality and cost-effective IT services, Critical Success Factors serve as the foundation for defining performance expectations and establishing appropriate Key Performance Indicators [KPI](#).

By aligning operational activities, ITSM processes, and performance measurements with these critical areas, the organization can effectively monitor progress, support decision-making and drive continual service improvement.

The following sections analyze the Critical Success Factor individually, identifying the associated KPIs, suitable metrics, and the ITSM processes that influence their performance.

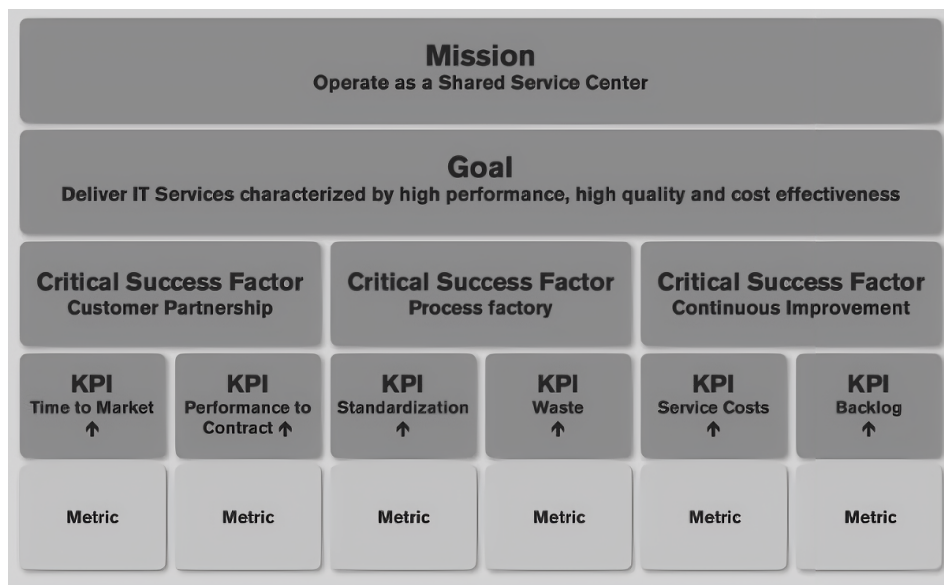


Figure 2.1: Organisational Vision

Chapter 3

Customer Partnership

Customer Partnership represents an important and strategic pillar to accomplish the Bank's goals. The IT Department must establish measurable relationships between external customers and other stakeholders. Assuming a role that actively contributes to the improvement of the services provided and, in specific, monitors through KPIs the value perceived by customers. The IT has to collaborate also internally within the organization in order to engage the appropriate department whenever it is needed.

This sector is extremely important for the success of the Bank's vision, because the international expansion through acquisitions and other partnerships introduces new business requirements due to different customer expectations, cultural diversity, and increased service complexity. These challenges must be supported in a proactive way, by ensuring that IT services remain aligned with business objectives, deliver consistent value across different countries, and contribute to the Bank's growth; while complying with agreed Service Level Agreements between customers, stakeholders and user expectations.

These requisites makes performance measurement crucial. By continuously monitoring and collecting customer-oriented metrics and analyzing services scores, IT Department is able to implement a continual service improvements that can strengthen customer trust and enrich the service quality while gaining long-term partnership.

This customer-centric approach supports organization's objectives of delivering high-performance, high-quality and cost-effective IT services, aimed toward to accomplish the predefined goals mentioned in [Cap.1.2](#)

3.1 Time To Market

Time to Market, also known as "Speed to Market", is the organization's capability to deliver new or improved IT services in the shortest possible time, concerning from the concept to production lifecycle, so reflects the efficiency of the service design, development, testing, and deployment processes.

Reducing Time to Market allows the bank to respond quickly to changing business needs and market opportunities; in way to support digital banking services and international expansion. The objective is to accelerate service delivery without compromising quality, security or regulatory compliance.

Achieving this CSF requires effective collaboration between business and IT, supported by well-defined ITSM processes. In the end, a shorter Time to Market contributes to increased customer satisfaction and competitive advantage.

3.1.1 Average Lead Time for Change to Production

Time to market, also known as “Speed to Market” is made operational through **Average Lead Time for Change to Production** KPI metric, which defines as the elapsed time between formal approval of a business requirement and its deployment into the production environment.

This metric is selected because it directly reflects the organization’s ability to translate customer and business demands into operational banking capabilities which is essential for achieving the stated rapid digital service evolution and revenue growth objectives of the organisation. In the context of the strategic goal of the organisation is to increase the income from internet banking, reduced Time to Market provides higher organizational agility and faster delivery of customer targeting features, thus improving market responsiveness and competitive positioning.

There are several ITIL aligned ITSM processes that primarily effects Time to Market:

- **Change enablement** has a direct effect through approval workflows and Risk Management procedures, where excessive governance overhead can result in significant delays.
- **Release and Deployment Management** also effects the indicator as deployment scheduling, release batching and automation maturity determine how quickly the validated changes end up deployed in the production.
- **Service Validation and Testing** influences Lead Time through test cycle duration and error handling loops, which can create bottlenecks if automation coverage is insufficient.
- **Service Design and Transition** activities also effect indirectly through the time required for requirement analysis, architectural validation, and coordination of technical dependencies.

Overall, inefficiencies or lack of cooperation across these processes will result in the increase of Lead Time, where higher process integration, standardization and automation would reduce it, resulting with the improvement of Time To Market KPI.

Average Lead Time for Change to Production	
Description	Unit
Average time required for a new or modified IT service, feature or change to progress from a formal approval to successful deployment to the production.	Days.
Formula	Frequency
$\frac{\sum(\text{Deployment Date} - \text{Approval Date})}{\# \text{ of Successfully Implemented Changes}}$	Monthly reporting with quarterly trend analysis.

Table 3.1: Time To Market - Avg Lead Time for Change to Production

3.2 Performance To Contract

Performance to Contract focuses on the IT Department's ability to respect contractual obligations and consistently deliver services according to the agreements made with customers and explained in natural language in the Service Level Agreements (SLAs).

This subject requires IT services to meet the agreed levels by different measurable values, such as availability, reliability, responsiveness, and quality; while ensuring and supporting the Bank's operational and predefined business objectives.

Well-defined Key Performance Indicators ensure evidence of whether service targets are being achieved and enable the IT department to identify eventual deviations or deficiencies. This gives a clear input to potential corrective actions or improvements to service performance over time. Moreover, the monitoring of performance against contractual commitments also increases transparency and accountability between IT and different business units or external third-party service providers.

This process is fundamental and very important for the Bank, because many banking services, such as Online Banking, ATMs, global payments, or other third-party services, depend strictly on service levels and regulatory compliance. Also, through a cybersecurity point of view, the respect of performance is fundamental to prevent various cyber-attacks and potential disservices.

In addition, being a global Bank, the services must be ensured not only during the local time of the main Headquarters, but, the support must be available respecting different cultural scenarios, thus supporting suppliers or international partners.

As a result of continuously measuring contractual performance and acting on the collected data, IT Department can improve service reliability, reduce the risk of SLA breaches and improve the overall customer relationships and partnerships with various stakeholders.

3.2.1 SLA Compliance Rate

SLA Compliance Rate can provide a measure whether contractual service levels are respected, thus to accomplish the agreements made with customers or stakeholders and therefore maintain the quality of the service provided.

For this [KPI](#) the process affected are:

- **Service Level Management:** to ensure an opportune level of service provided that should ensure what agreed in SLA.
- **Incident Management:** to ensure that eventual incident are resolved and the service restored to its normal operativity and agreed quality.
- **Request Fulfillment:** to gather and fulfill customer and user requests and making it sure to accomplish them
- **Availability Management:** to ensure the service is available for the user and the downtime due to incidents or maintenance do not take more than necessary resources (time and costs).

The availability of the service can be expressed via the formula:

$$\text{Availability} = \frac{\text{AST} - \text{downtime}}{\text{AST}} \times 100$$

Where "AST" indicate the Agreed Service Time, which measure the expectation of the time that service is available; downtime should be included within this value.

- **Capacity Management:** to monitor and ensure that service achieve agreed and expected performance, satisfying current and future demand in a cost-effective way.

- **Supplier Management:** To ensure that the organization's suppliers and their performances are managed appropriately to support the seamless provision of quality products and services.

SLA Compliance Rate	
Description	Unit
Percentage of request solved respecting SLAs specification, where is desired a high percentage.	Percentage.
Formula	Frequency
$\frac{\text{Requests solved within SLA}}{\text{Total requests}} \times 100$	Monthly.

Table 3.2: Performance To Contract - SLA Compliance Rate

3.2.2 Mean time for restoring service

Another Key Performance Indicator which can help the IT Department toward the monitor service performance within the expectation of the stakeholders is the measurement of the restoring service time. This indicator measures how quickly the IT organization restores service after an interruption, closely related to the previous metric 3.2.1 but can be adopted by IT Department as an input for continuous improvement toward to optimize its response for incidents.

Primarily involves the “**Incident Management**” process but can be extended to others related process such as:

- **Problem Management** which cover the role to resolve the problems that caused the incident
- **Service Desks** which represent a single point of contact for users and other stakeholders, incident reports should pass by this department, which can be involved within the incident managment and classification then consume time and enter within the metric

Mean time for restoring service	
Description	Unit
Provide the average time required to restore an IT service after an incident has been reported. Lower values indicate better operational performance and higher compliance with contractual SLAs.	Minutes.
Formula	Frequency
$\frac{\sum \text{Restoration time}}{\text{Number of resolved incidents}}$	Weekly (operational team) & Monthly (as management reporting).

Table 3.3: Backlog - Priority Distribution

Chapter 4

Process Factory

The Process Factory approach aims to standardize IT Service Management (ITSM) processes in order to deliver “**standardized**” services with greater efficiency, higher quality, and lower operational costs. This is a critical factors, that needs to see IT Department operate as “Shared Service Center” toward the identification and elimination of “**waste**”, defined as any activity that consumes resources without creating value for stakeholders or supporting business objectives.

4.1 Standardization

The standardization or ITSM process, reduces operational complexity, improves service quality, facilitates integration between organisational units and enables economies of scale. Within the context of the bank case study, standardization is particularly important due to the ongoing integration of acquired international banks, the use of shared services and the strategic objective of delivering high quality and cost effective IT services.

To measure the level of standardization achieved within the IT organization, the “**percentage of standardized services**” works as KPI, explained in next chapter [4.1.1](#).

4.1.1 Standardization Compliance Rate

This metric measures the proportion of IT services that fully conform to the organization’s approved standards, including standardized architectures, service designs, infrastructure platforms, operating procedures and technology stacks. Standardization Compliance Rate provides an indication of the organization’s ability to implement consistent and repeatable service delivery practices across business units and geographical regions.

A high value for this metric indicates a mature and efficient operating model characterized by reduced complexity, simplified maintenance activities, improved interoperability and lower operational costs. This directly supports the bank’s strategic objective of integrating international operations while maintaining high service quality and cost effectiveness.

Several IT Service Management processes have a direct impact on the degree of standardization achieved within the organization:

- **Service Portfolio Management:** ensures that new and existing services align with organizational standards and strategic objectives. Also prevents the introduction of unnecessary service variations.
- **Service Design:** defines standardized service architectures, technical specifications, support models and operational requirements. Furthermore promotes the reuse of existing service components and standardized technologies.

- **Change Enablement:** controls modifications to services and infrastructure, ensuring that implemented changes comply with approved standards. Additionally prevents unauthorized deviations from established architectures.
- **Service Asset and Configuration Management:** maintains accurate information about service assets and configuration items, enabling verification of compliance with approved standards.
- **Release and Deployment Management:** ensures that new releases and deployments are implemented using standardized procedures, tools and configurations.
- **Continual Service Improvement:** monitors standardization performance metrics and identifies opportunities to further reduce process variation and improve operational efficiency.

Standardization Compliance Rate	
Description	Unit
Percentage of IT services complying with standardized service and infrastructure architectures.	Percentage.
Formula	Frequency
$\frac{\text{Compliant IT services}}{\text{Total IT services assessed}} \times 100$	Quarterly, Monthly, Biannually

Table 4.1: Standardization - Compliance Rate

Overall, this KPI supports the Process Factory critical success factor by ensuring that IT services are not only delivered efficiently but are also structurally consistent, enabling economies of scale, improved governance and reduced complexity across the bank's global IT operations.

4.2 Waste

With the term **waste** IT Service Management intend every activity that consumes time, effort or financial resources without increasing the value delivered to the customer. From Lean methodology and ITIL perspective, customers only perceive value when an IT service is available, reliable, secure and supports the desired utility functions. Any process that do not contribute to outcomes is considered waste and should be minimized or eliminated (*as the guiding principles suggests: "Keep it simple and practical"*).

Waste includes more than obvious failures, such as services outages, but also hidden inefficiencies embedded in recurrent operations. These may include redundant processes steps, unnecessary approvals, excessive manual work, repeated incident resolution, but even the collections of data that is never used to improve services. Such activities increase operational costs, reducing productivity and delaying service delivery, impact negatively the customer satisfaction.

Lean thinking identifies different categories of waste that can be directly applied to IT Service Management, such as:

- **Waiting:** delays caused by approvals, unavailable personnel or dependencies between teams. *Waiting increases lead time without adding value.*
- **Defects:** errors that require correction, like failed software releases, configuration mistakes, security vulnerabilities, or inaccurate service records.
- **Overprocessing:** performing more work than necessary, including excessive documentation not required or needed by stakeholders. Even unnecessary or redundant approvals, or too many resources allocated to simple activities (often wrongly added near to a delivery deadline).
- **Unused talents:** failing to involve employees with valuable expertise in process improvement, service design or decision-making. *Opposing the “Collaborate and promote visibility” guiding principle.*
- **Inventory:** backlogs of unresolved incidents, accumulated change requests, unused hardware, and outdated or unused retrieved information.

These concepts can be applied through concrete examples to the Bank’s use case scenario. For instance, without a structured **knowledge management** that holds documentation and reusable knowledge, service desk analysts and technical staff repeatedly solve the same problems independently. This duplication of effort represents both overprocessing and inventory waste, increasing incident resolution times and reducing overall efficiency.

Another source of waste comes from poor involvement of internal customers during the Service Transition and Service Design, as a result a lot of misunderstandings and usability issues could emerge that converge into rework, additional testing, and corrective changes. This represents both waiting and defects of a service, since problems are identified later in the service lifecycle or already in a production environment

An important aspect that the Bank needs to handle, thus avoiding waste, is due to the expansion into different countries. Social aspects such as language, culture, time zones, and organizational practices could end up creating a bottleneck for the communication system, delaying the throughput of information and slowing incident resolution, change approvals, or decision-making.

Even the differences in operational practices, in the absence of standardized processes 4.1, could represent a duplication of work and the creation of organizational silos, which can slow down decisions taken toward goal realization, representing the opposite of one of ITIL core guiding principle “*Think and work holistically*”.

For the Bank, reducing waste is a necessity that allows IT resources to focus on innovation, improvements in service quality and lower operating costs. In order to individuate waste, the organization must ensure standardization of processes, automate repetitive activities, define responsibilities and continuously monitor performance through KPIs (analyzed in the following chapter ??). This transformation of strategy makes the IT department operate as a “Shared Service Center” that provides high performance, high quality and cost-effectiveness, aligned with the organization’s goals.

4.2.1 Repeated Incident rate

To measure how many incident occur due to problems that are not already been resolved. ITSM process involved are:

- **Incident Management** which is accountable to register the incident and potential workaround used in restoring the service
- **Problem Management** to identify the potential and actual causes of incidents (or known errors) and reduce the probability of the impacts by providing the solutions and workarounds.

- **Knowledge Management** that maintain and improve the effective, efficient, convenient use of information and knowledge across the organization
- **Continual Improvement** in order to increase the value overall the performance and quality of the service

Repeated Incident Rate	
Description	Unit
A high value indicate a wasted effort since the cause of the incident has not been eliminated.	Percentage.
Formula	Frequency
$\frac{\text{Recurring incidents}}{\text{Total incidents}} \times 100$	Weekly/Monthly.

Table 4.2: Waste - Repeated Incident Rate

4.2.2 Rework rate

For instance, since the Bank aims to increase revenue from its Internet Banking services, poor user experience caused by application malfunctions or insufficient service quality may reduce customer engagement. At the same time, these defects can represent significant rework for both external suppliers and the internal design and development teams; increasing costs and delaying service improvements, reducing the overall efficiency of the Service Value Chain (SVC).

The rate of the rework activities serve a strong KPI for user engagement and involves many process of IT Service Management, main of them are:

- **Change Enablement:** which have to maximize the number of successful service and product changes by:
 1. ensuring that risks have been properly assessed
 2. authorizing changes to proceed
 3. managing the change schedule
- **Service Validation and Testing:** in order to check that the service meets the desired customer requests.
- **Release Management:** that has the purpose of moving new or changed hardware, software, documentation, processes or any other component to live environments. In this case, needs to apply the reworked services in production.

Rework Rate	
Description	Unit
Indicate how many activities and work item needs a rework. Higher value indicated inefficiency and waste.	Percentage.
Formula	Frequency
$\frac{\text{Work task reopened}}{\text{Total completed work task}} \times 100$	Montly.

Table 4.3: Waste - Rework Rate

Chapter 5

Continuous Improvement

Within the bank's Shared Service Center IT operating model, Continuous Improvement represents a critical success factor focused on the systematic and sustained enhancement of IT service performance through structured, data-driven decision-making. It establishes improvement as an embedded capability rather than a set of isolated initiatives, ensuring that IT services, processes and supporting technologies evolve in alignment with business objectives previously defined [1.2](#).

In this context, Continual Improvement is not limited to reactive problem resolution but extends to proactive optimisation of service performance, cost structures, and delivery speed across all IT service management domains.

This [CSF](#) is monitored through the consistent use of performance metrics, service reporting and analytical feedback loops, that convert operational data into actionable improvement opportunities. In a complex, geographically distributed banking environment with multiple acquired entities, Continual Improvement, becomes essential to reduce performance variability, eliminate systemic inefficiencies and ensure that IT services remain scalable and compliant with different regulations. Moreover, it also directly supports the bank's strategic ambition to integrate heterogeneous IT landscapes by promoting standardisation practices measurements and reinforcing a unified performance management culture across all divisions.

A key characteristic of this CSF is its dependency on mature measurement and governance capabilities. Improvement decisions are expected to be grounded in quantifiable evidence derived from ITSM processes rather than subjective assessment. As a result, Continual Improvement is tied with the organisation's ability to capture reliable service data, analyse trends and then, to implement corrective actions through controlled change mechanisms. Without this closed-loop structure, improvement efforts risks to become inconsistent and misaligned with organization goals.

5.1 Service Costs

Represents the organization's ability to deliver IT services in a cost-effective and efficient way. Focusing on optimization of several resources such as financial, technological and human ones, while maintaining the required service quality.

An effective and proactive approach oriented to cost management helps the IT Department to ensure that services provide the maximum value to the business without unnecessary expenses. This is a core pillar for supporting the bank's expansion and IT Department as "Shared Service Center" strategy. Achieving this CSF requires continuous monitoring, resource optimization and informed financial decision-making. In the end, controlling service costs contributes to improve profitability and long-term business sustainability.

In the context of the case study, this factor is particularly relevant due to the bank's international expansion, in terms of acquisitions of others institutions but also as collabora-

tions with partners and customers. By measuring the total cost of individual services, the bank can assess whether service delivery remains economically sustainable while respecting the performance and quality expected by stakeholders.

Overall, the objective is to balance operational efficiency with service performance and customer expectations; where the “**IT Service costs distributions**” 5.1.1 works as KPI.

5.1.1 IT Service costs distribution

To support the Continuous Improvement CSF ??, the selected metric for the Service Costs is “**Total IT Service Cost per Service**” (TISCS). This metric measures the total financial cost associated with delivering, operating, supporting and maintaining an individual IT service over a defined reporting period.

Within the calculation are included both direct costs, such as infrastructure, software licensing, personnel, supplier expenditures; than indirect costs, such as shared facilities, administrative overhead and common support services.

Unlike traditional budgetary measures, that provide only an aggregated view of expenditure, this metric enables service-level cost transparency and supports informed managerial decision-making. Furthermore, it allows the organization to identify cost inefficiencies, compare service performance across business units and international operations, evaluate the financial impact of improvement initiatives; in the end allows to optimize resource allocation.

Several IT Service Management processes directly influence this indicator, such as:

- **Service Portfolio Management:** affects the metric by determining which services are offered, maintained, or retired, thereby influencing the overall service cost structure.
- **Financial Management:** for IT Services plays a critical role in budgeting, accounting, cost allocation, and financial reporting associated with individual services.
- **Service Level Management:** impacts service costs through the definition of service quality targets and performance requirements, which determine the resources necessary for service delivery.
- **Change, Release and Deploy Management:** influence the metric by affecting the cost of implementing new or modified services and introducing operational efficiencies or inefficiencies.
- **Continual Service Improvement:** directly affects this metric through the identification and implementation of initiatives aimed at reducing operational costs, improving efficiency, and increasing the overall value delivered by IT services.

In the end, this metric provides a comprehensive and strategically aligned measure of cost effectiveness, supporting both the Bank’s Continuous Improvement objectives than its broader expansion.

In the formulation of this KPI metric, Direct Service Costs and Allocated Indirect Cost elements can be listed as following:

Direct Service Costs include:

- Infrastructure and hardware costs
- Software licensing costs
- Application maintenance costs
- Personnel and support staff costs
- Third-party supplier and outsourcing costs

Total IT Service Cost per Service	
Description	Unit
Measures the total cost incurred by the IT organization to deliver, operate, support, and maintain an IT service during a defined reporting period.	Currency per service, per reporting period
Formula	Frequency
Direct Service Costs + Allocated Indirect Costs	Monthly/Quarterly/Annually.

Table 5.1: Service costs - TISCS

Allocated Indirect Costs include:

- Shared infrastructure costs
- Service management tooling costs
- Facilities and data center costs
- Administrative overhead costs
- Shared services costs

This metric measures the total cost incurred by the IT organization to deliver, operate, support, and maintain a specific IT service during a defined reporting period. The calculation includes all direct costs attributable to the service as well as allocated indirect costs arising from shared resources and support functions.

5.2 Backlog

Backlog represent a structured and prioritized repository of improvements initiatives taken or identified through service performance measurement methods like [KPI](#) monitoring, incidents, problem analysis or customer feedback and reviews. Provide a governance mechanism that enables the organization to systematically collect, evaluate, pripritize and monitor the improvement process and opportunities in a shared system rather than operate as an organizational silos. In fact, backlog represent a key tool for the transformation of the IT Department into a “Shared Service Center”, because improvement initiatives are continuously generated from the monitoring of KPI across various processes. The adoption of a welformed backlog gives the IT the possibility to provide and suggest different initiatives thus to ensure the investments of resource and operation that contribute directly to the organization’s goals and support informed decision-making.

Initiatives are prioritized by different factors, such as:

- **Business value** that provide to the customers
- **Strategic alignment** toward organisation’s goals
- **Implementation effort**
- **Operational risk**
- **Expected benefits**

- **Resource ability**

The backlog must be continuously reviewed as part of the *Continual Service Improvement* process, allowing new opportunities to be integrated while completed activities can be evaluated against predefined performance indicators. The outcome of each implemented improvement is measured through opportune KPIs to verify and then support the validation of the achievement of the expected benefits. Moreover, can serve to identify additional optimization and creating a feedback loop that promotes organizational learning and maturity.

Applied to the Bank current ITSM environment, the adoption of an improvement backlog brings several benefits to the services provided, such as:

- Enrich and consolidate a Knowledge Management
- Increase customer involvement during Service Transition
- Introduce formal change evaluation process
- Promote proactive Problem Management
- Standardize operational process across international branches and improve collaboration between departments

Together, these initiatives contribute the reducing of operational waste while improving service quality, increasing process efficiency and supporting Banks's international growth strategy through a culture of continuous improvement.

5.2.1 Priority distribution

Backlog priority distribution measures the composition of open tickets, grouping them by their priority. This metric can be applied to different subjects, such as problems or change requests.

With this KPI [KPI](#), the IT can monitor a rank of the amount of task for each division in way to plan and coordinate different resources in order to accomplish first critical tasks and to direct others requests.

It affects several [ITSM](#) process for each division, for instance:

- **Incident Management** for incidents
- **Problem Management** for problems and known errors
- **Change Enablement** for change requests open or request awaiting to be accomplished

5.2.2 Task completed from last report

Another metric, combined with the before Priority Distribution [5.2.1](#), provide the work tasks successfully completed during the reporting period.

This provide the performance of the various department toward the resolution and accomplishment of the open requests.

IT Department should aim to higher percentage expecially related to high priority tasks.

Backlog Priority Distribution	
Description	Unit
Helps determine whether unresolved work is concentrated on high-impact issues and supports prioritization decisions. The organization should aim to lower percentage on the priority level.	Percentage.
Formula	Frequency
$\frac{\text{Open tickets of priority P}}{\text{Total open tickets}} \times 100$ <i>calculated for each priority level</i>	Weekly (operational team) & Monthly (as management reporting).

Table 5.2: Measurement - Backlog Priority Distribution

Task Completed Since Last Report	
Description	Unit
It indicates the team's throughput and ability to reduce backlog. High percentage means high efficiency of the teams' abilities	Percentage.
Formula	Frequency
$\frac{\text{Tickets completed during last report}}{\text{Tickets opened during last report}} \times 100$ <i>divided for each priority level if used as comparison within the previous KPI</i>	Monthly (within the previous management report).

Table 5.3: Backlog - Task Completed Since Last Report

Chapter 6

Conclusions

This work analyses the strategic transformation of the Bank's IT Department toward a Shared Service Center operating model with the adoption of IT Service Management principles and a Key Performance Indicator Based Management approach. The international expansion of the organization, together with the integration of acquired financial institutions, introduces significant challenges related to service standardization, operational efficiency, customer satisfaction, cost management, and regulatory compliance. Consequently, the establishment of measurable performance mechanisms becomes essential to support strategic decision-making and ensure the long-term sustainability of IT services.

To address these challenges, this work analysed three Critical Success Factors (CSFs) and six Key Performance Indicators (KPIs). These CSF and KPIs directly support the strategic objectives defined by the organisation such as, including increasing internet banking revenues, expanding international operations, improving service quality, and achieving greater operational efficiency.

For each Critical Success Factor, appropriate Key Performance Indicators (KPIs) and associated metrics were identified to provide objective and measurable evidence of organizational performance. The selected indicators enable the Bank to monitor service delivery effectiveness, evaluate operational efficiency, assess customer-oriented outcomes, and optimize the allocation of financial and technological resources. Furthermore, the analysis highlighted the IT Service Management processes that directly influence each metric, demonstrating the strong relationship between organizational strategy, operational activities, and performance measurement.

Critical Success Factor	Key Performance Indicator	Metric for Measurement	Main ITSM Processes	Desired Trend
Customer Partnership	Time to Market	Avg. Lead time to Production	- Change Enablement - Release Management	↓
	Performance to Contract	SLA Compliance Rate	- Service Level Management - Incident Management	↑
Process Factory	Standardization	Standardization Compliance Rate	- Service Design - Service Asset and Configuration Management	↑
	Waste	Repeated Incident Rate	- Incident Management - Problem Management	↓
Continuous Improvement	Service Costs	Total IT Service Cost Per Service	- Financial Management	↓
	Backlog	Backlog Priority Distribution	- Change Management - Continuous Improvement	Optimize

Table 6.1: Summary - Main KPI Metrics and their Relationships

The proposed measurement framework provides several strategic advantages for the Bank. First, it enables the transition from intuition-based decision-making toward a data-driven management model, where improvement initiatives are supported by measurable evidence.

The transformation of the IT Department into a Shared Service Center also creates opportunities for increased scalability, improved governance, reduced operational costs, and enhanced service quality. Through the continuous monitoring of performance indicators and the adoption of ITIL guiding principles, the organization can establish a culture of continuous measurement, optimization, and innovation.

In conclusion, the proposed ITSM performance management framework represents a structured and strategically aligned approach for supporting the Bank’s business objectives. By integrating Critical Success Factors, Key Performance Indicators, measurable metrics, and ITSM processes within a unified governance model, the organization can improve decision-making capabilities, increase operational efficiency, and strengthen its competitive position in an increasingly global and digital banking environment.

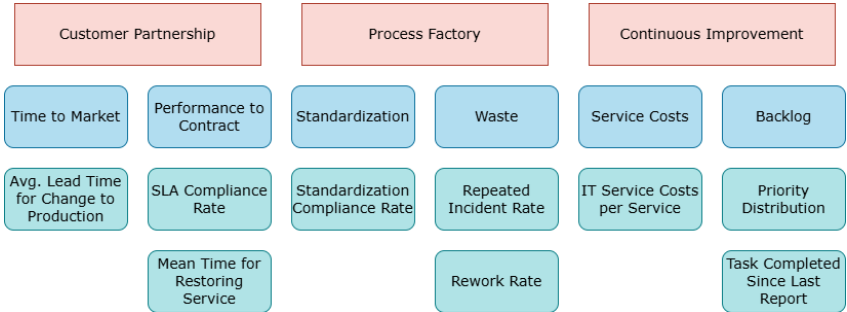


Figure 6.1: CSF and KPI Metrics

Acronyms and abbreviations

CSF . [2](#), [3](#), [6](#), [19](#), *Glossary:* [Critical successful Factor](#)

ITSM . [3](#), [5](#), [15](#), [19](#), *Glossary:* [IT Service Management](#)

KPI . [2](#), [3](#), [8](#), [10](#), [15](#), [19](#), *see*

PESTLE . [2](#), [19](#), *Glossary:* [PESTLE](#)

SLA . [4](#), [19](#), *Glossary:* [Service Level Agreements](#)

Glossary

Critical successful Factor is a key area of activity that must be performed successfully for an organization, service, or process to achieve its strategic objectives. [19](#)

IT Service Management a set of organizational capabilities, practices, and processes for designing, delivering, managing, and continually improving IT services to meet business and user needs.. [19](#)

Key Performance Indicator in IT Service Management is a quantifiable metric used to evaluate how effectively IT services and processes are achieving defined business objectives and outcomes. [19](#)

PESTLE A strategic analysis framework used to identify external factors affecting an organization. Political: government policies and regulations; Economic: inflation, costs, and market conditions; Social: demographics and customer expectations; Technological: innovation and emerging technologies; Legal: laws and compliance requirements; Environmental: sustainability and environmental regulations. [19](#)

Service Level Agreements A documented agreement between a service provider and a customer, written in natural language, that identifies both the services required and the expected level of service. [19](#)